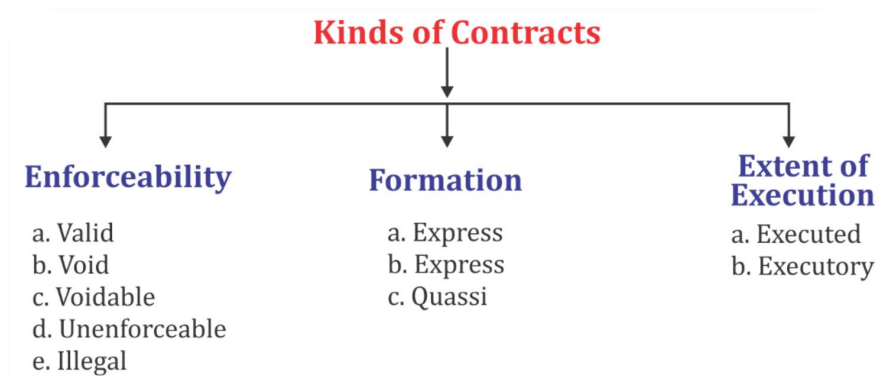


CHAPTER - 2

KINDS OF CONTRACT

In this chapter we shall discuss the kinds of contract in detail.



I. THE FOLLOWING CONTRACTS ARE BASED FROM THE POINT OF VIEW OF ENFORCEABILITY:

- (i) **Valid Contract:** It is an agreement enforceable by law.
- (ii) **Voidable Contract:** It is an agreement which is enforceable by law at the option of one or more of the parties thereto, but not at the option of the other or others. Until it is avoided or rescinded by the party entitled to do so by exercising his option in that behalf, it is a valid contract; after it is repudiated, it becomes a void contract.

Usually, a contract becomes voidable when the consent of one of the parties to the contract is obtained by coercion, undue influence, misrepresentation, or fraud. We shall discuss them in detail in Chapter 7.

- (iii) **Void Contract:** An agreement not enforceable by law is said to be void. Thus, a void agreement is void ab initio i.e., no agreement at all from its very inception (e.g., an agreement with a minor or an agreement without consideration). A 'void agreement' never amounts to a contract: a 'void

contract' is valid when it is entered into, but subsequent to its formation something happens which makes it unenforceable by law.

- (iv) **Unenforceable contract:** It is one which is valid in itself, but is not capable of being enforced in a court of law because of some technical defect such as absence of writing, registration, etc., or time barred by the law of limitation.
- (v) **Illegal Agreement-** The term 'illegal' means contrary to law. Illegal contract is inappropriate as it would mean an agreement enforceable by law. The term 'illegal agreement' is appropriate. An illegal agreement is narrower in scope than a void agreement. 'All illegal agreements are void but all void agreements are not necessarily illegal.

Illustration: An agreement with a minor is void as against him but not illegal.

II. THE FOLLOWING CONTRACTS ARE BASED FROM THE POINT OF VIEW OF FORMATION:

EXPRESS CONTRACT- Where both the offer and acceptance constituting an agreement are made in words spoken or written, it is an express contract.

IMPLIED/INFERRED CONTRACT- Where the offer and acceptance are made otherwise than in words i.e., by acts and conduct of the parties (e.g., eating at a restaurant), it is an implied contract.

Please Note: Sometimes, an offer is expressed in words and the acceptance is implied on acts and circumstances. Such contracts may be called as contracts mixed character.

CONSTRUCTIVE OR QUASI-CONTRACT- Such a contract does not arise by virtue of any agreement between the parties but the law infers or recognizes a contract under certain special circumstances. The Contract Act has named such contracts as "certain relations resembling those created by contract. We shall discuss them in detail under Ch-10.

III. THE FOLLOWING CONTRACTS ARE BASED FROM THE POINT OF VIEW OF EXTENT OF EXECUTION:

EXECUTED CONTRACT- A contract is said to be executed when both the parties to contract have

completely performed their share of obligation and nothing remains to be done by either party under the contract.

Illustration: When a bookseller sells a book on cash payment.

However, where only one of the parties to a contract has performed his share of obligation at the time of its formation and the other party is still to perform his share of obligation, then also the contract is called executed" Such contracts are called Unilateral contracts. For example, a public advertisement offering a reward to anyone who finds a missing thing person.

EXECUTORY CONTRACT- A contract is said to be executory when either both the parties to a contract have still to perform their share of obligation in toto or there remains something to be done under the contract on both sides. Such contracts are called Bilateral contracts or Future contracts. In such cases, each party is a promisor and a promisee